

Meta Platforms, Inc.
 META NASDAQ

Buy \$643.51 ▼ 0.39% 12M Price Target \$780.00 52-Week Range \$520.26 – \$796.25

Market Cap
 \$1.63T

META: AI Spend Debate Meets Teen Safety Trial Overhang

WHAT HAPPENED

- Stock down for the 4th straight day (from \$681 to \$643, about -5.5%) on a headline that META is heading to trial in Tennessee over Instagram teen safety violations. This matters because it's the first big state-level trial testing the "social media harms kids" legal theory — a loss here could crack the dam on similar suits in 40+ other states.
- Sub-plot: Meta and Nvidia announced they're targeting the AI supply chain, and AMD got a "big AI customer" vote of confidence (widely rumored to be META). Translation: capex is going UP, not down, which is spooking investors worried about the "when does AI spending actually pay off?" question.

WHY IT MATTERS

The Tennessee trial is the real story today, not the AI headlines. If META loses or settles big, expect a wave of copycat state AGs to pile on — but here's the counterintuitive read: a defined legal outcome (even a bad one) often REMOVES uncertainty and lets the stock re-rate higher, similar to how Big Tobacco stocks bottomed AFTER the master settlement. The AMD/Nvidia AI supply chain news tells you Zuck is doubling down on infrastructure spend — that's a short-term margin headwind but a long-term moat, because smaller competitors literally cannot afford to build 2-gigawatt data centers. Watch the Kids Online Safety Act (KOSA) in Congress — if it passes federally, it actually HELPS META by preempting the state-by-state litigation chaos.

POLICY & POLITICAL WATCH

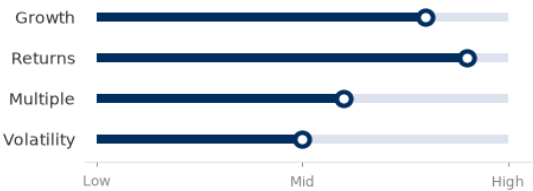
Three things on the political radar: (1) KOSA — Kids Online Safety Act — has been kicking around Congress for years and could resurface; passage would create a federal standard META can comply with once instead of fighting 50 state battles. (2) The FTC's antitrust case pushing to unwind Instagram/WhatsApp is still grinding forward — that's the existential risk, but courts have been skeptical of forced breakups. (3) On the tailwind side, the administration's push to counter Chinese AI (see today's Moonshot headline) means US-based AI champions like META get regulatory air cover and likely favorable treatment on data center permitting and energy access.

IS IT EXPENSIVE?

Key Data

Price (USD)	\$643.51
12M Price Target	\$780.00
Upside / (Downside)	+21.2%
Market Cap	\$1.63T
FY2026E Revenue	\$137M
FY2027E Revenue	\$158M
FY2026E EPS	\$27.50
FY2027E EPS	\$32.00
Fwd P/E	23.4x

INVESTMENT PROFILE



12-MONTH PRICE PERFORMANCE VS. S&P 500



PRICE OUTLOOK — SCENARIO TARGETS BY TIMEFRAME

TIMEFRAME	BULL CASE	BASE CASE	BEAR CASE
1 Month	\$700.00	\$660.00	\$610.00
6 Months	\$780.00	\$720.00	\$580.00
1 Year	\$870.00	\$780.00	\$550.00
2 Years	\$1000.00	\$850.00	\$500.00
5 Years	\$1400.00	\$1050.00	\$450.00
10 Years	\$2200.00	\$1500.00	\$400.00

WHAT'S MOVING IN THE SECTOR

HEATING UP: Energy (+2.4% over 5 days) is quietly ripping — that's the AI power story. Every hyperscaler including META needs nuclear, gas, and grid capacity to run their data centers.

COOLING OFF: Tech is -2.4% over 5 days despite today's small bounce — the market is digesting whether AI capex has gotten ahead of AI revenue. Communications Services (META's home sector) is barely positive, suggesting the sector is treading water.

ROTATION WATCH: Money is moving from megacap tech into energy/utilities as the "picks and shovels" AI trade — investors are betting on who SELLS to META rather than META itself.

RELATED PLAY: If you like META's AI infrastructure story, look at the power side — Vistra (VST), Constellation (CEG), and even AMD which just got the META rumor bump today. These are the "arms dealers" in the AI war.

WHO'S WINNING IN THIS SPACE?

- AMD (Advanced Micro Devices): Popping today on rumors META is buying their MI-series AI chips — diversifying away from Nvidia is a big deal for the whole ecosystem.
- NVDA (Nvidia): Still the king of AI infrastructure; every META capex dollar flows partially through them.

META CONTEXT: META is lagging its megacap peers this week — down while broader tech tries to bounce. That's the Tennessee trial overhang plus AI spending anxiety. But the options flow (put/call ratio of 0.52, meaning way more bullish bets than bearish) tells me smart money is treating this pullback as a buying opportunity, not a warning sign.

WHAT I'D DO WITH THIS STOCK

7/10 Conviction Score

CONVICTION: 7/10 — Not table-pounding because the legal overhang is real, but the business fundamentals and cash generation give you a big margin of safety.

POSITION SIZE: 4-6% of portfolio — this is a core holding, not a trade. The volatility is manageable and the free cash flow is a fortress.

ENTRY POINTS: Current \$643 is a fine starting point. I'd add more aggressively at \$600 (near 52-week midpoint) and back up the truck under \$560 if the Tennessee trial creates a panic day.

TIME HORIZON: 12-24 months. Catalysts I'm watching: Q2 earnings (late July), Tennessee trial developments, and any federal movement on KOSA.

WHEN TO BAIL: Ad revenue growth drops below 10% two quarters in a row, OR a federal law passes that forces material changes to how teens use the platform, OR AI capex crosses \$100B without any revenue attribution.

HEDGING: Easiest hedge is just don't overweight it. If you want protection, buy put options 10% out of the money as insurance — think of them as fire insurance for your stock position, you pay a small premium and get protected if the house burns down.